BISON FUND EQUITY PITCH

Alphabet Inc.

NASDAQ: GOOGL

One vertical stack, three ways to win the artificial intelligence buildout: the compute rivals rent, the frontier models, and the consumer applications that distribute both.

Bison Fund pitch, October 2026

Data as of Q2 2026 (call July 22, 2026) and FMP market data (October 9, 2026)

Executive Summary

REVENUE, Q2 2026

$119.8B

+24% year over year, 12th straight quarter of double-digit growth

CLOUD BACKLOG

$514B

Up more than $50B in the quarter, recognized over 24 months

CLOUD REVENUE GROWTH

+82%

Operating margin 35.6%, tripled operating income

VALUE PER SHARE

$314

Discounted cash flow base case, about 11% below the current price

CURRENT MARKET SENTIMENT

Consensus targets have moved up to $380 on average and $450 in the last month, against a price of $354. The analyst reads the stock as fairly priced to slightly rich, and the discounted cash flow model agrees: the market is paying close to full value for the 2030 free cash flow year.

THESIS

One vertical stack, three ways to win the artificial intelligence buildout. Alphabet rents the compute rivals need, including the open-source wave, fields its own frontier models, and distributes both to consumers and enterprises. The kill condition is Microsoft winning the agent landscape or a neocloud taking the compute share.

What the market says

CONSENSUS PRICE TARGET

$429

62 analysts, S&P Global poll. Median $430, low $340, high $515.

RATINGS

56 / 5 / 0

Buy, hold, sell. Effectively no sellers on the street.

OUR MODEL

$314

Discounted cash flow base case, 27% below the consensus target

WHAT THE STREET IS BUYING

Cloud revenue up 82% with a $514B backlog, TPU systems becoming a hardware line, and the read that Alphabet monetizes artificial intelligence three times on the same dollar. Morgan Stanley frames a $200B-plus TPU monetization opportunity through 2028.

WHAT THE STREET IS WORRIED ABOUT

Capital intensity: capex guided to $195B to $205B for 2026 with a significant increase in 2027, negative quarterly free cash flow, and $98.2B of long-term debt. The bear case is the cash cycle, not the demand.

KEY TAKEAWAY

The street is 27% above our model on the target and holds no sells, which means the disagreement is not about demand, it is about what the cash cycle is worth. The market pays for the backlog at full value; our model pays for the free cash flow after the capex.

Sources: S&P Global consensus via stockanalysis.com, TipRanks, and Morgan Stanley commentary as reported, October 2026. Consensus figures rest on aggregator reproduction of sell-side notes; confirm before presenting.

Recommendation

RECOMMENDATION

BUY

The analyst's call

CURRENT PRICE

$354.25

NASDAQ: GOOGL

PRICE TARGET

$314

Discounted cash flow base case

IMPLIED DOWNSIDE

-11%

versus the current price

KEY TAKEAWAY

A buy on a model that says the price is about right. The recommendation rests on the optionality the model cannot price: the $514B backlog converting at today's prices, TPU systems becoming a hardware business, and Waymo inside Other Bets. If any of the three lands, the model's 2030 free cash flow is too low.

The big idea

The company that monetizes artificial intelligence three times on the same dollar: as the landlord of the compute, the seller of the model, and the owner of the audience.

Rivals train on rented compute and distribute through someone else's surface. Alphabet is the landlord, the model vendor, and the surface. The open-source shift does not break that: open models still need somewhere to run, and the default consumer entry point for artificial intelligence is already a Google search box that a billion people use every month.

THE LANDLORD

$514B

Cloud backlog, up $50B in one quarter, majority converting within 24 months

THE MODEL VENDOR

900M+

Downloads of the open Gemini model family; frontier Gemini in 90% of the Fortune 100

THE AUDIENCE

1B+

Monthly users of AI Mode in Search, on top of the default search box

Sources: Alphabet Q2 2026 earnings call, July 22, 2026; Q2 2026 press release.

01

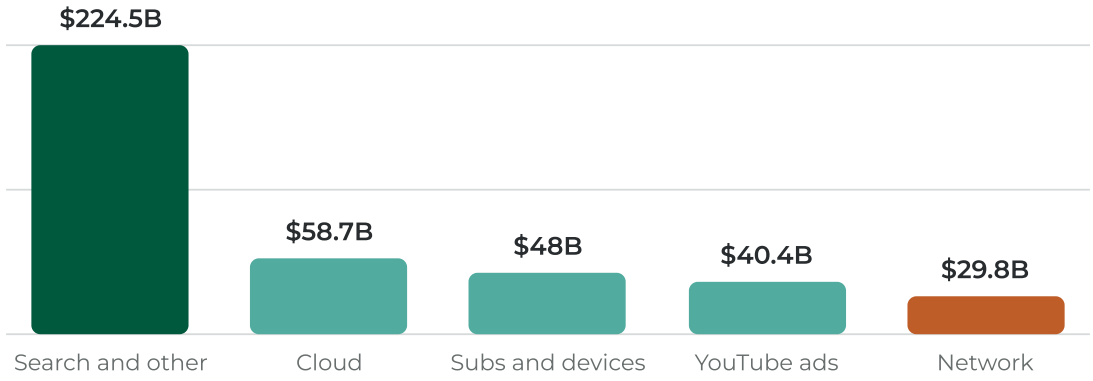
Business, Products and Industry

01 BUSINESS **02** COMPETITION **03** KEY DEALS **04** FINANCIALS **05** VALUATION

Who is Alphabet?

Alphabet sells advertising on the largest audience in the world, rents computing through Google Cloud, sells subscriptions and devices, and places long-term bets on autonomous driving and drug discovery. In 2025 the advertising businesses produced $294.7B of revenue, Cloud $58.7B, and the consumer subscription line $48.0B.

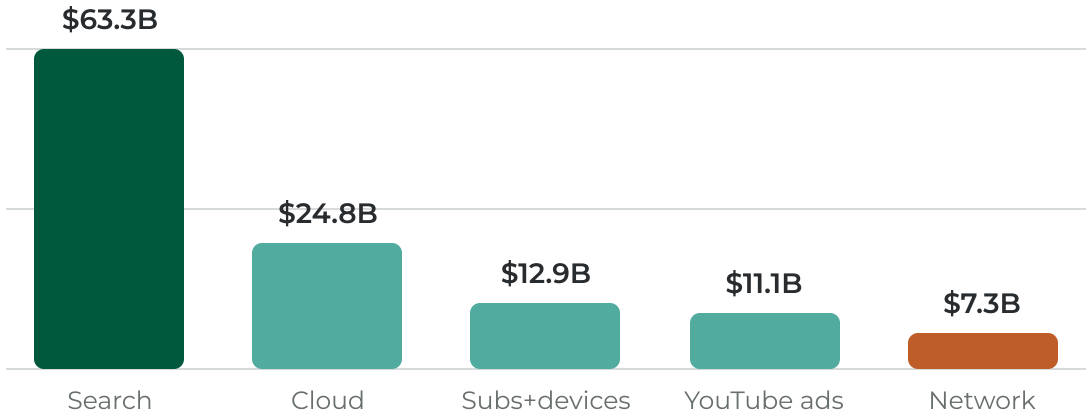
REVENUE BY SEGMENT, 2025, $ BILLIONS



Source: FMP stable/revenue-product-segmentation, fiscal 2025.

The quarter in one chart

REVENUE BY SEGMENT, Q2 2026, $ BILLIONS



KEY TAKEAWAY

Search grew 17% with monetization of AI Overviews and AI Mode inside it. Cloud grew 82% with GCP growing faster than Cloud overall. Management flags modest near-term margin pressure from leased third-party capacity and notes that most TPU system revenue is realized in 2027, not 2026.

Source: Alphabet Q2 2026 press release; FMP stable/revenue-product-segmentation.

Distribution of the models

AI MODE IN SEARCH

1B+

Monthly active users since global expansion last October

GEMINI ENTERPRISE

90%

Of the Fortune 100, on the enterprise agent platform

OPEN GEMINI MODELS

900M+

Downloads; the latest generation passed 300 million since April

KEY TAKEAWAY

The open-source shift the analyst flagged in Phase 1 is visible in Alphabet's own numbers: the company ships open weights at a 900-million-download scale and still wins, because the weights run on its compute and point back to its surfaces. Distribution is the hedge against commoditization.

Source: Q2 2026 earnings call, July 22, 2026.

02

Competition

02 COMPETITION

The competitive field

WHO COMPETES FOR WHAT

Cloud: Amazon Web Services and Microsoft Azure, plus the neoclouds. Models: OpenAI and Anthropic at the frontier, open weights everywhere. Agents: Microsoft's Copilot stack inside enterprise distribution. Search: Answer engines and assistant surfaces carving queries away from the results page.

WHERE ALPHABET STANDS

The only competitor holding positions in all three layers at once, and the only one whose model competitors are also its customers. Microsoft holds two layers and rents the third from OpenAI. Amazon holds one and buys the rest.

KEY TAKEAWAY

The kill condition is specific: Microsoft winning the enterprise agent frame, or a neocloud or Amazon Web Services taking the compute share. Cloud revenue growth of 82% and a $514B backlog say that has not happened yet.

Cloud revenue and backlog figures per the Q2 2026 earnings call. Competitor revenue splits to be sourced before presenting.

02 COMPETITION

The stack as the moat

COMPUTE

TPU

Own silicon plus Nvidia; TPU systems now sold into customer data centers for the first time

MODELS

Frontier + open

Frontier Gemini for the enterprise, open weights for the long tail, both trained on Alphabet infrastructure

SURFACES

Search + YouTube

The consumer entry points, with AI Mode past a billion monthly users

KEY TAKEAWAY

The moat is not any one layer; it is the margin structure of owning all three. A rival must beat Alphabet on compute economics, model quality, and distribution simultaneously. Google Cloud's operating margin going from 20.7% to 35.6% in a year is what owning the silicon does to the cost line.

Source: Q2 2026 earnings call, July 22, 2026.

03

Key Deals and Bets

The portfolio of bets

WAYMO

Scaling

Sixth-generation driver vehicle in public service; the autonomous fleet thesis Alphabet already owns

ISOMORPHIC LABS

$2B+

Raised for artificial intelligence drug discovery, on the AlphaFold research base

TPU SYSTEMS

New

First quarter selling TPU systems into customer data centers; hardware as a new revenue line

KEY TAKEAWAY

Other Bets lost $1.8B on $382M of revenue in the quarter, which is the price of the option portfolio. The one that matters for the thesis is TPU systems: if Alphabet sells the machine that trains and serves the industry's models, the compute layer becomes a product business, not just a rental one.

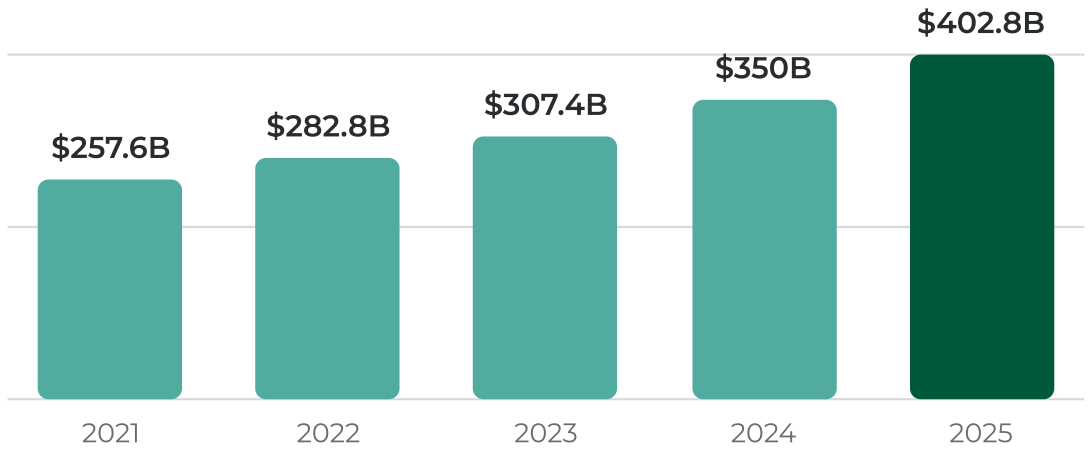
Source: Q2 2026 earnings call, July 22, 2026.

04

Financials

Revenue

REVENUE BY YEAR, $ BILLIONS



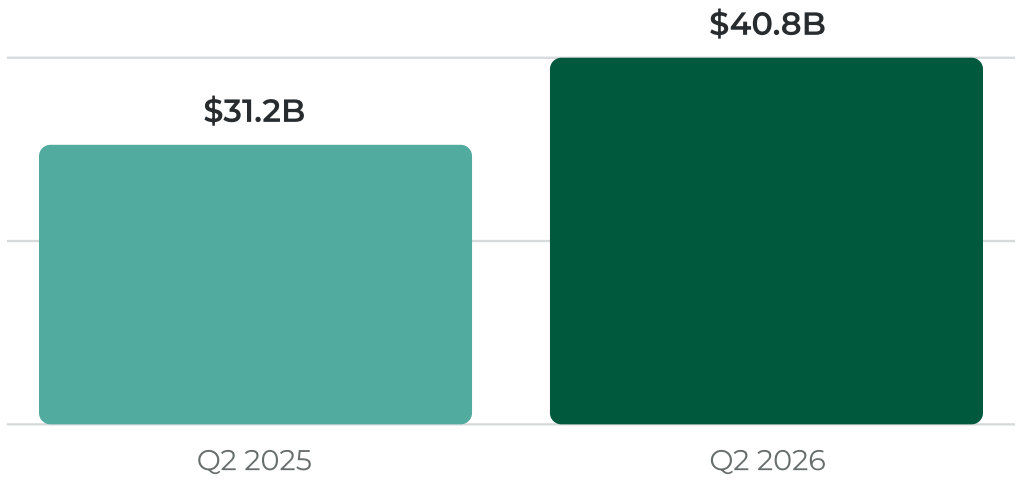
KEY TAKEAWAY

Revenue grew 15% in 2025 and 24% year over year in the second quarter of 2026, accelerating into the heaviest infrastructure spend in the company's history. Consensus has 2026 revenue at $498B, which the first half's $229.7B plus the current pace supports.

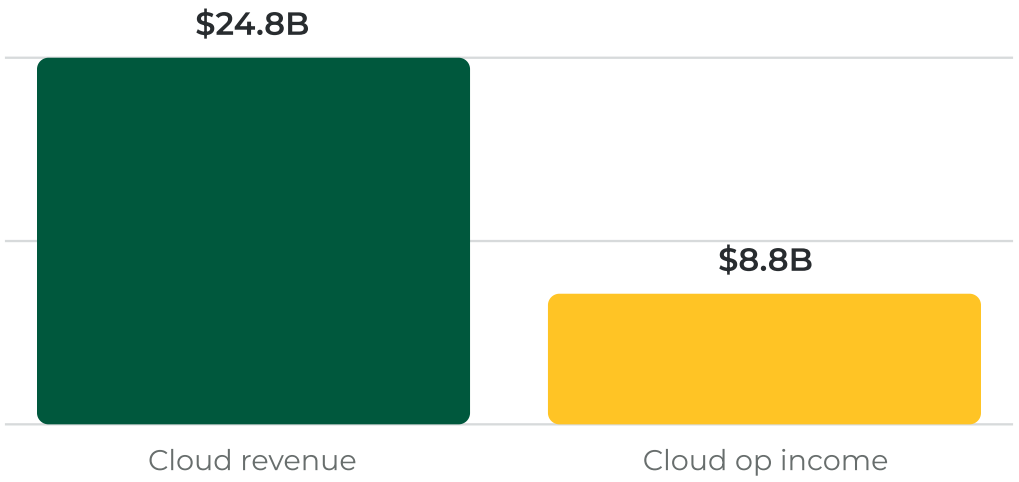
Sources: FMP stable/income-statement; Q2 2026 press release.

Profitability

OPERATING INCOME BY QUARTER, $ BILLIONS



CLOUD PROFITABILITY



Cloud operating margin 35.6% versus 20.7% a year ago.

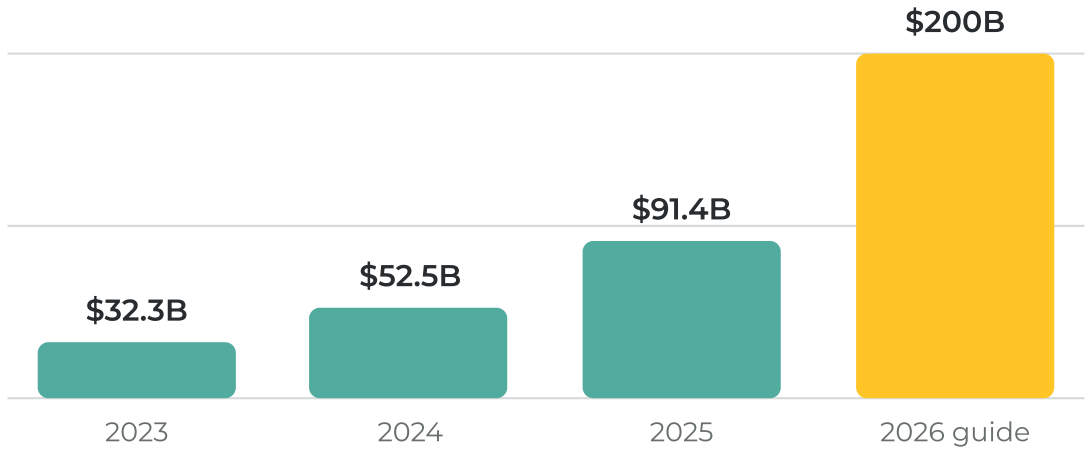
KEY TAKEAWAY

Operating margin was 34% in the quarter, up with revenue. The caution: net income this year is flattered by $98B of other income and expenses, mostly unrealized gains on the $87.1B equity portfolio. The operating line, not the net line, is the read.

Source: Q2 2026 press release and earnings call.

Capex and cash flow

CAPITAL EXPENDITURE BY YEAR, $ BILLIONS



KEY TAKEAWAY

Capex guidance is $195B to $205B, raised from $180B to $190B, with a significant increase in 2027, funded partly by an $84.75B equity raise in June 2026 that included a $10B Berkshire Hathaway private placement. Free cash flow was negative $5.9B in the quarter. The depreciation from this build lands after the revenue does.

Source: Q2 2026 earnings call, July 22, 2026.

05

Valuation

Discounted cash flow

INPUTS

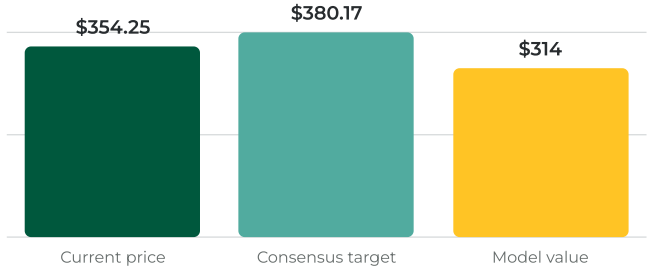
Revenue 2030, consensus	**$971.7B**
Free cash flow 2027 to 2031	**60, 95, 165, 243, 300B**
Free cash flow 2030 margin	**25% of revenue**
Discount rate	**9.5%**
Terminal growth	**3.0%**
Net cash plus equity stakes	**$154.6B**
Shares	**12.10B**

VALUE PER SHARE SENSITIVITY

DISCOUNT RATE	2.5%	3.0%	3.5%
8.5%	347	374	407
9.5%	**295**	**314**	**337**
10.5%	255	269	285

Columns are terminal growth. Free cash flow ramps as backlog converts and the capex cycle normalizes.

MODEL AGAINST THE MARKET



VALUE PER SHARE

$314

AGAINST THE PRICE

-11%

The market is pricing the 2030 free cash flow year almost exactly. The upside case needs the terminal free cash flow margin above 25%, or the backlog repricing higher.

Sources: FMP stable/analyst-estimates and stable/quote, October 9, 2026. Free cash flow path is the analyst's estimate on consensus revenue.

The bull case

1. THE BACKLOG IS CONTRACTED REVENUE

$514B converting within 24 months, at margins that just went from 20.7% to 35.6%. The model's free cash flow ramp may still be conservative.

2. TPU SYSTEMS IS A NEW PRODUCT LINE

Selling the machine changes the compute layer from rental margin to hardware plus rental margin, the Amazon Web Services to Alphabet's own infrastructure.

3. DISTRIBUTION NOBODY CAN COPY

A billion monthly users of AI Mode, 90% of the Fortune 100 on the enterprise platform, and the default search box. Distribution is the hedge if models commoditize.

4. THE OPTION PORTFOLIO IS FREE

Waymo, Isomorphic, and the $87.1B equity portfolio sit outside the model. Optionality the market is not paying for, per the model's own math.

The bull case rests on the sourced figures above. The model value of $314 assumes none of the four land above their current run rates.

05 VALUATION

The bear case and the risks

BACKLOG REPRICING

Weight: medium. Compute commitments are priced at signing. If capacity loosens, renewals reprice down, and the 35.6% margin is the peak of the cycle.

MICROSOFT'S AGENT FRAME

Weight: medium. If enterprise agent workflows consolidate into the Microsoft 365 stack, Gemini Enterprise's penetration has to convert against Redmond's distribution advantage.

SEARCH MONETIZATION UNDER AI MODE

Weight: medium. The cash cow funds $200B a year of capex. Artificial intelligence answers compress clicks; management reports incremental queries, the counter is lower revenue per query.

OPEN WEIGHTS RUNNING ELSEWHERE

Weight: noise to low. Open weights run on any cloud, but the default surfaces and the enterprise contracts still route through Google.

DILUTION FROM THE JUNE RAISE

Weight: low to medium. $18B of common stock plus $16.75B of mandatory convertible preferred (6.25%, converting by May 2029) plus a $40B at-the-market program. The share count grows into the model's per-share value.

SECURITIES CLASS ACTION, FILED OCTOBER 9, 2026

Weight: low for the model, but it is the news of the week. The suit alleges misrepresentation of Gemini 3.5 Pro progress after a 4% stock drop. It is disclosure risk, not operating risk.

KEY TAKEAWAY

The analyst ruled the net-cash-evaporation case low weight: $126.8B of cash against a $200B year is deliberate, and the equity portfolio is a store of value, not a liability. The risks that matter are the two contract-priced ones: backlog repricing and the agent frame.

Sources

Sources

Primary - Alphabet Q2 2026 press release and earnings call, July 22, 2026 (transcript via Financial Modeling Prep) - segment revenues and backlog per company disclosures

Grounding - Alphabet SEC exhibits for the June 2026 equity raise (sec.gov) - Reuters and CNBC for the six-year Meta Cloud agreement (August 2025) - securities class action notice (October 9, 2026)

Data - Financial Modeling Prep stable API, October 9, 2026: income statement, cash flow statement, balance sheet, product segmentation, analyst estimates, price target summary, quote

Method - Bison Fund discipline: analyst thesis first, every figure sourced and dated, mandatory bear case, model inputs stated, judgment calls with the analyst